Covered Call Strategy

Earn extra income from your holdings

Sharique Samsudheen · Entri Finacademy

The promise

Earn regular income

from shares you already own

This is how covered calls are usually sold to investors.

Part 1

What a covered call is, and how it makes money

What is a call option?

A right to buy Nifty at a fixed price (the strike), till a fixed date (expiry)

The buyer

- Pays a premium today
- Gets every rupee Nifty rises above the strike
- Wins if Nifty goes up a lot

The seller (us)

- Receives the premium today
- Must pay every rupee Nifty rises above the strike
- Wins if Nifty stays below the strike

What is a covered call?

You own Nifty + **You sell a call on it**

Why "covered"?

If Nifty rises and you have to pay the call buyer, the gain on the Nifty you own covers it. You are never caught short.

A worked example

Nifty today	**23,146**
You own	**1 lot = ₹15 lakh**
You sell	**23,600 call (2% above)**
Premium	**₹160 × 65 = ₹10,400**

If Nifty stays below 23,600 at expiry, the call becomes zero. You keep ₹10,400.

₹10,400 ÷ ₹15 lakh = **0.7% income in one month**

Four outcomes at expiry

Nifty at expiry	Only holding	Covered call
Falls 5%	-₹75,200	-₹64,800
Stays flat	₹0	+₹10,400
Rises 2% (to strike)	+₹29,500	+₹39,900
Rises 6%	+₹90,300	+₹39,900

In the 6% rally you still profit, but you pay ₹60,800 in cash to the call buyer.

The payoff graph



Breakeven

22,986

Profit is capped at

₹39,900

Above 23,600, every extra point goes to the buyer

Why people love it

Market falls

You lose a little less than others

Market flat

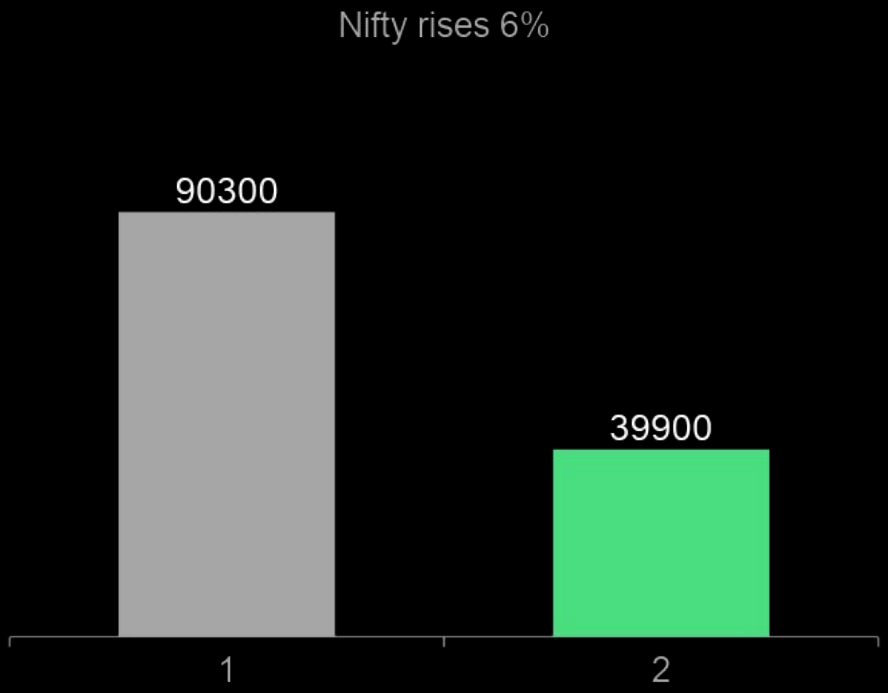
You still earn the premium

Market rises

You still make money

It looks like you never lose. The only cost seems to be "on paper".

The hidden problem: your best months are capped



You give up

₹50,400

And it is not on paper. You pay ₹60,800 in real cash to the call buyer, while your fund's gain just sits there.

Part 2

Does it really work?

Problem 1: you need a lot of capital

₹15 lakh

One Nifty lot = 65 units × 23,146. You cannot sell a covered call on less.

Most small portfolios are out from the start.

Problem 2: you need extra cash too

₹1.4 lakh

Margin blocked to sell one call, even though you own the shares

50%

Of that margin must be cash or a debt fund

₹16 lakh

So your real portfolio is not ₹15 lakh, it is about ₹16 lakh

You either keep some debt in your portfolio, or bring the money from outside.

Problem 3: performance

16 years

of real NSE option prices. Every month from Jan 2010 to Sep 2026.

With this much capital and effort, the result had better be really good.

Rule tested: on the first trading day of each month, sell a Nifty call 2% above, hold till expiry. One lot, shown at today's value.

Covered call: month by month

Kept the premium

73%

146 of 200 months

Avg +0.71%, about +₹10,700

Paid back

27%

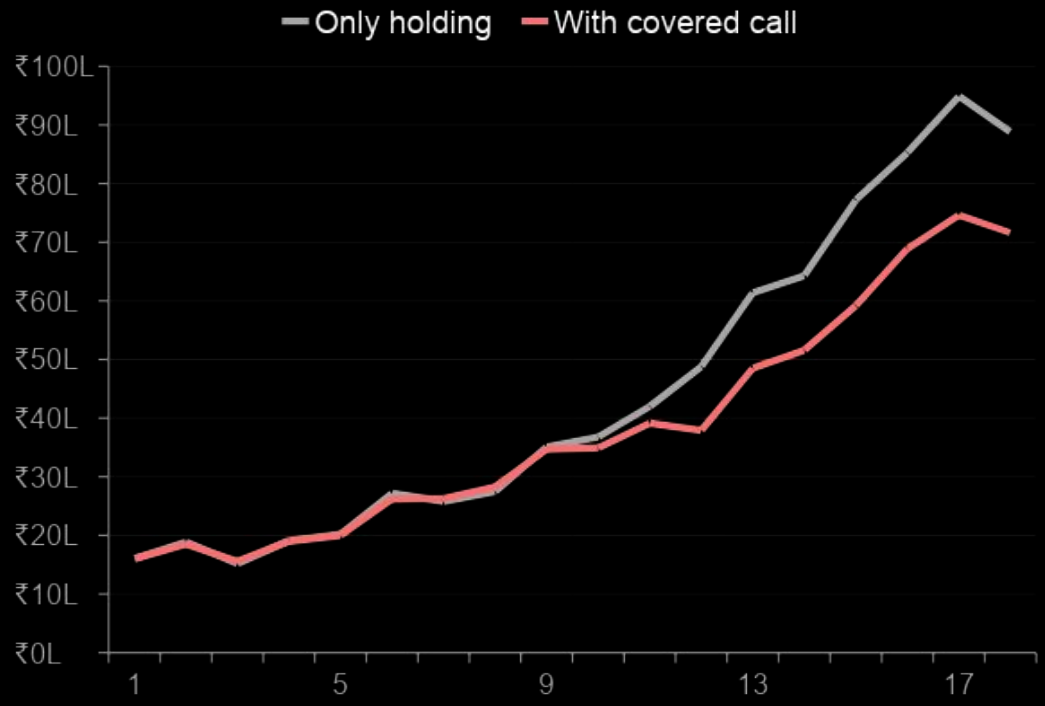
54 of 200 months

Avg -2.51%, about -₹37,800

Net: **-0.16% a month, about -₹2,400 a month**

Over 16 years: -₹4.8 lakh on one lot

₹16 lakh invested in 2010



Only holding

₹88.8 lakh

With covered call

₹71.6 lakh

Why: the best months went to the call buyer. In April 2020 alone, Nifty jumped about 15% and the call cost ₹1.77 lakh. Missed rallies never compound.

"Passive income from your holdings"

In India, it is a myth.

To make covered calls work, you have to time them with trends. That is active trading, not passive income.

Part 3

A passive strategy that works

The simple rule

1. First trading day of every month
2. Is Nifty above its 200-day average?
3. Yes: sell one Nifty put 5% below today's level. Hold till expiry.
4. No: sit out that month

One lot for every ₹15 lakh you hold.

Put rule: month by month

Profit

93%

139 of 149 months traded

Avg +0.27%, about +₹4,100

Loss

7%

10 of 149 months traded

Avg -1.42%, about -₹21,400

Net: **+0.16% a month traded, about +₹2,400 a month**

Sat out 51 months when Nifty was below its 200-day average

₹16 lakh invested in 2010



Put rule

₹108.7 lakh

Only holding ₹88.8L · Covered call ₹71.6L

Why: people pay extra for crash insurance, and this rule collects it. It also sits out when the market is weak. ₹20 lakh more than just holding.

Real NSE prices, Jan 2010 - Sep 2026. Profits reinvested into the fund. Before tax.

Three things to remember

1. A covered call caps your best months. In India, you pay that cost in cash.

2. As "passive income from your holdings", it lost money over 16 years.

3. A simple put rule, done every month, added ₹20 lakh on ₹16 lakh.

Questions?

Educational session. Not investment advice.